

# ***Predicting Churn: Leveraging Machine Learning to Bolster Customer Retention***

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## **Members:**

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## **Dataset:**

For our project, we are selecting the customer churn dataset. This dataset consists of 3300 observations of 21 different variables, including one binary class attribute indicating whether or not a customer is predicted to churn in the near future.

## **Project Approach:**

In order to provide the company with an accurate recommendation for how to address potential customer churn in the near future, we plan on employing the following methods and strategies:

- Read, clean and analyze the data using Python
- Perform Exploratory Data Analysis (EDA) by creating histograms for attributes of concern
- Utilize SAS to implement decision tree and Naïve Bayes classifications
- Employ a 10-fold cross validation data split strategy to accurately and comprehensively evaluate the model's performance across various subsets of the data
- Implement SQL integration using SQLite to store the cleaned dataset and run queries to analyze customer churn

## **Workload Distribution:**

| <b>Group Member</b> | <b>List of Tasks</b>                                                                                                                                                                                                                                                                                 |
|---------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Jocelyn             | <ul style="list-style-type: none"><li>- Identify and replace missing values in the dataset</li><li>- Calculate the max, min, mean and std. deviation for each of the 21 attributes</li><li>- Identify and account for outliers</li><li>- Analyze the distributions of numerical attributes</li></ul> |

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|       | <ul style="list-style-type: none"> <li>- Convert categorical variables into a suitable format for modeling</li> <li>- Plot histograms for attributes of concern and analyze whether they have any influence on the churn attribute</li> </ul>                                                                                                                                                                                                                                                                                                     |
| Henry | <ul style="list-style-type: none"> <li>- Implement a decision tree classifier and evaluate results</li> <li>- Implement a Naïve Bayes Classifier and evaluate results</li> <li>- Employ a 10-fold cross-validation data split strategy for reliable model performance measurement</li> <li>- Compare decision tree and Naïve Bayes models based on accuracy, precision, recall, and F1-score</li> <li>- Generate tables and graphs to compare model results</li> </ul>                                                                            |
| Syed  | <ul style="list-style-type: none"> <li>- Document and summarize findings from data preparation and predictive modeling (classification) phases</li> <li>- Write conclusions and recommendations based off classification results</li> <li>- Implement SQL integration using SQLite (by storing the cleaned dataset and running queries to analyze customer churn)</li> <li>- Format and finalize the project report by integrating the conclusions and recommendations with tables, charts, and other forms of effective visualization</li> </ul> |